

Property Damage Claims Policy Manual - Xactimate Estimates

1. Line Item Arithmetic Requirements

Each line item in a property damage estimate must have a verifiable total equal to quantity multiplied by unit cost. The sum of all line item totals must equal the total replacement cost value (RCV) listed on the estimate summary page. Discrepancies greater than \$1.00 will result in the claim being flagged for adjuster review. Rounding errors must be documented. Estimates generated by Xactimate software are subject to the same arithmetic verification requirements.

2. Actual Cash Value Calculation

Actual cash value (ACV) is calculated as replacement cost value (RCV) minus applicable depreciation. ACV must equal RCV minus depreciation within a \$1.00 tolerance. Depreciation is determined by the age and condition of the damaged property. Non-recoverable depreciation applies to certain materials per policy schedule. Recoverable depreciation may be claimed upon completion of repairs with proof of payment. ACV mismatch is grounds for claim suspension pending correction.

3. Negative Amount Policy

No line item in a property damage estimate may carry a negative dollar value. Credits or offsets must be documented separately and approved by the claims adjuster. Negative totals on any line item will result in automatic claim flagging. Salvage value credits must be entered as separate negative-amount line items only with explicit adjuster approval and will be reviewed case by case.

4. Date of Loss Requirements

The date of loss must be on or before the claim submission date. A future date of loss indicates a data entry error and the claim will be returned for correction. Date of loss must fall within the active policy period. Claims for losses occurring before policy inception or after policy expiration are not covered. Dates must be in MMDDYYYY format.

5. Required Fields

Every property damage estimate must include: claim number, insured name, property address, date of loss, cause of loss, at least one line item, and a total replacement cost value. Missing mandatory fields result in claim suspension. The claims adjuster must be named when an adjuster has been assigned. Cause of loss must match a covered peril under the applicable policy (wind, hail, water, fire, vandalism, etc.).

6. Covered Perils

Standard homeowner policies cover the following perils: fire, lightning, windstorm, hail, explosion, riot, aircraft damage, vehicle damage, smoke, vandalism, theft, falling objects, weight of ice/snow, accidental discharge, freezing of pipes, and electrical surge. Flood and earthquake are typically excluded unless specifically endorsed. Wear and tear, gradual deterioration, and maintenance items are not covered losses.